



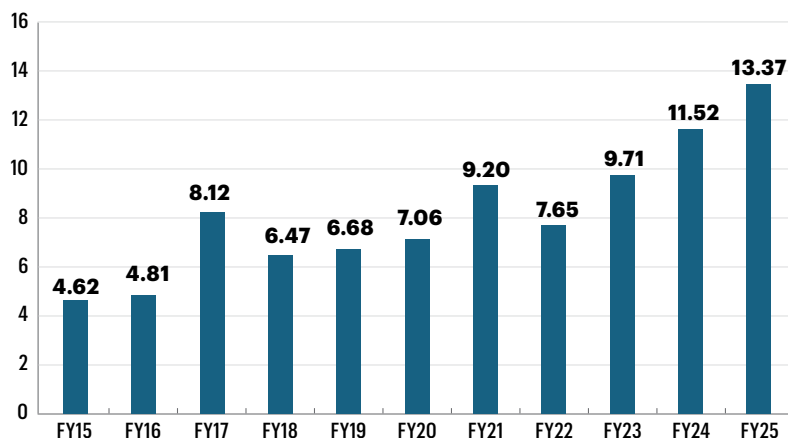
“Prudently selected debt funds can be as safe as FDs and offer anytime liquidity. Gross yields of debt mutual fund are looking more attractive”

VIKAS GARG

HEAD, FIXED INCOME,
INVESCO MUTUAL FUND

FIXED INCOME MARKET EXPANSION

- Funds raised from primary market through debt securities increased 190% from ₹4.6 lakh crore in FY15 to ₹13.3 lakh crore in FY25.



SOURCE CMIE ECONOMIC OUTLOOK

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“Corporate bond fund and short-term debt mutual fund schemes’ yields to maturity are closer to 7% levels, while Gilt funds are nearer to 7.25%”

MURTHY NAGARAJAN

HEAD-FIXED INCOME, TATA
ASSET MANAGEMENT

DEBT FUNDS VS BANK FDs

With multiple repo rate cuts by the Reserve Bank of India (RBI), bank FD rates have come down. In contrast, several debt mutual fund categories are offering attractive yields, along with flexibility and tax efficiency.

Vikas Garg, Head of Fixed Income at Invesco Mutual Fund, says: “Prudently selected debt funds can be as safe as FDs and offer anytime liquidity. Gross yields of debt mutual fund are looking more attractive as FD yields have come down with the RBI’s 125 basis points repo rate cut in CY2025”.

“Debt mutual funds can offer capital gain opportunities as current market yields are elevated and expected to drop on the back of the RBI’s policy rate cuts and open market G-Sec purchases,” he adds.

Experts also stress caution.

Murthy Nagarajan, Head of Fixed Income, Tata Asset Management, highlights the risk angle. “Debt mutual funds carry different levels of risk: liquidity risk, credit risk and interest rate risk, which may be higher than the risk carried by bank FDs.” His advice is clear: “Investors need to consult their financial advisors about suitability of any product based on their risk appetite.”

Still, the gap in returns is clear. “Corporate bond fund and short-term debt mutual fund schemes’ yields to maturity are close to 7% levels, while Gilt funds are nearer 7.25%. Bank FDs are in the range of 6.5%,” says Nagarajan.

FALLING RATES

Interest rate cycles play a crucial role in debt fund returns. When rates fall, bond prices rise, and